Procurement Policy

Version 4.0 | Effective 1 February 2026 | Owner: Finance Director

1. Purpose and Scope

This policy ensures that Acme Services Ltd buys goods and services fairly, transparently and at good value. It applies to all purchases made on behalf of the company, regardless of the budget they are paid from.

2. Approval Thresholds

Purchases below KES 50,000 must be approved by the requester's line manager. Purchases from KES 50,000 up to and including KES 500,000 must be approved by the department head and Finance.

Purchases above KES 500,000 and up to KES 5,000,000 must be approved by the Finance Director. Purchases above KES 5,000,000 must be approved by the Managing Director. Purchases must never be split into smaller orders to avoid a threshold.

3. Quotations and Tenders

For purchases below KES 50,000, one written quotation is sufficient. For purchases from KES 50,000 to KES 500,000, at least three written quotations must be obtained.

Purchases above KES 500,000 require a formal tender, with invitations sent to at least five suppliers and bids evaluated by a panel of at least three people.

4. Approved Suppliers

Goods and services may only be bought from suppliers on the Approved Supplier List. To be registered, a supplier must provide a valid business registration certificate, a current tax compliance certificate and verified bank details.

The list is reviewed every year, and suppliers with repeated performance problems may be removed.

5. Purchase Orders

No purchase may be made without a purchase order (PO) issued by the Procurement team. Procurement issues a PO within two working days of receiving an approved requisition. Invoices that do not quote a valid PO number will not be paid.

6. Payment Terms

Suppliers are paid within 30 days of the company receiving both a valid invoice and the goods or services. Payments are made in two payment runs each month: on the 15th and on the last working day of the month.

7. Conflicts of Interest

Employees must declare in writing any personal or financial relationship with a supplier or bidder before taking part in a purchasing decision. An employee with a declared conflict must not evaluate bids or approve payments for that supplier.

8. Emergency Purchases

In an emergency, such as a safety risk or an outage of a critical service, a department head may approve a purchase without quotations.

A retrospective purchase order must be raised within three working days, and all emergency purchases are reported to the Finance Director each month.